

The Value of Tax Privacy: Evidence from an Online Survey of U.S. Adults*

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Abstract

The optimal balance between privacy and transparency in tax administration depends on the trade-off between the private costs of a loss in tax privacy and the social benefit of tax transparency. This paper is the first to estimate the perceived private costs of tax return disclosure in the United States. In a hypothetical willingness to pay exercise fielded through an online survey of U.S. taxpayers, the median private cost of tax return disclosure is \$50. Accordingly, I find that for a large proportion of individuals, the perceived costs of tax return transparency are low. Approximately thirty percent of respondents report that the personal benefits of tax return disclosure outweigh the risks. At the same time, the distribution of privacy valuations is highly skewed, so that the average WTP is \$257. Eighty two percent of respondents reporting privacy valuations below the mean. Finally, I find that privacy valuations differ substantively when estimated using a willingness to accept exercise, with the median WTA exceeding the median WTP by a factor of 4.

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1 Introduction

What is the value of tax privacy? This research uses an online survey to understand how people reason about and value the privacy of their tax information.

For many households, the income tax return is the most comprehensive account of their personal financial situation. It is perhaps not surprising, then, that United States law treats income tax returns as private records, much like a bill of health or an academic transcript. The choice to hold tax return information to such an exceptional standard involves a trade-off, however. As key records of the mundane details of tax administration, it stands to reason that there is a social value to allowing members of the public to get a better look into the details of at least some tax returns. The public has a reasonable claim to know who pays taxes and who doesn't, who is being audited, and who is getting away with fraud.

Different countries have weighed this very trade-off and decided against an American-style tax privacy regime. Even in the United States, the notion of tax information as private records is relatively new. As noted by [Schwartz \(2008\)](#), it took until 1976 for the modern concept of tax privacy, or the notion that filers retain the right of disclosure over their income tax return information, to be explicitly established in statutory law. Interestingly, the notion of tax privacy today does not extend to other tax bases. Property tax information in the United States is by and large public. Moreover, while the income tax privacy regime in the US has become tighter, the property tax privacy regime has become looser. Where before the public revision of property assessments required visiting a government office, today much of that information is available online.

Which details of tax administration belong in the public versus private domain? The answer to this question lies in understanding the trade-off between the private value of tax privacy and the social benefit of tax transparency. It is striking how little we know about either side of the equation.

This project seeks to use an online survey to understand how Americans reason about tax privacy, and to estimate the private costs of tax return disclosure. The survey instrument employs a deliberative exercise designed to help respondents evaluate the private costs and benefits of tax return disclosure. I use a hypothetical choice exercise to determine the dollar value of tax privacy, and I find that the median willingness to pay to protect last year's tax and income information from disclosure is \$50.

This research sheds light into an empirical puzzle in the economics of privacy literature, which is that subjective value of privacy has been found to differ in the case where individuals are asked to accept payment for disclosing private information versus when they are asked to pay to protect their data. The former can be thought of as a "willingness to accept" (WTA) and the latter as a "willingness to pay" (WTP). [Acquisti et al. \(2013\)](#) notes that although the literature on the economics of privacy tends to implicitly assume that both are equal, a vast literature in behavioral economics establishes that WTA tends to be larger than WTP ([Kahneman and Tversky \(1979\)](#), [Thaler \(1980\)](#)). Indeed, in my study, the average WTA is 13.5 times larger than the average WTP, and the median WTA is 4 times larger than the median WTP. I argue that the gap between the WTP and the WTA can be seen as evidence of the privacy paradox. Under the interpretation of the WTA as a compensating variation, respondents perceive a high cost to tax return disclosure, but, as suggested by the lower WTP, they are only willing to pay a fraction of that cost to protect their information.

Any attempt to measure the subjective private costs of tax return disclosure must contend with the fact that, as discussed comprehensively by [Acquisti et al. \(2016\)](#), the value of privacy is highly idiosyncratic and context dependent. An individual who engages in vast amounts of tax evasion may be less willing to accept tax return disclosure for risk of being reported by colleagues or neighbors. On the other hand, a professor at the University of Michigan, whose income information is already public, may perceive a smaller cost to having their tax return be published. With this in mind, my study is designed to retrieve the distribution of privacy valuations. I observe a long tail of individuals who report very high privacy valuations, so that the average willingness to pay is \$257 (5.1 times larger than the median), and the average willingness to accept is \$3,491 (17.5 times larger than the median). I also observe bunching at zero. 19.3% of respondents report a willingness to pay of \$0, and 16.2% report a willingness to accept of \$0. Moreover, over 30% of respondents report that the personal benefits of tax return disclosure outweigh its risks.

I find that the privacy endowment, measured as both the control individuals have over who can access their private information and the sensitivity of an unwanted disclosure, is predictive of privacy valuations. I build an index of concern about tax privacy that measures whether individuals believe different entities know too much about taxable income and taxes paid. I also build an index of control over tax information which captures the ease with which different entities could surmise each respondent's tax return information. I find that respondents with

greater tax privacy concern have higher privacy valuations. Second, the more control individuals perceive over who can access their information ex-ante, the higher the perceived costs of tax return disclosure.

My survey is also designed to identify the ex-post mechanisms that drive attitudes toward tax return transparency and tax privacy valuations. For a series of 10 statements which describe ways that tax return disclosure could affect individuals personally, I ask respondents whether each is expected to have positive effects, negative effects, or not much of an effect. I also ask individuals whether the benefits of tax return disclosure outweigh the risks. The most important factors that predict whether individuals will determine that the benefits outweigh the risks are "People will know whether or not you are paying taxes, and how much," "You will be able to see the income of your coworkers," "Companies can target products to you based on your income," "Your information will be available to people without a need to know it," and "Your neighbors will be able to see your income." The latter factor points to a key way in which tax return disclosure differs from salary transparency. Tax transparency may affect tax compliance. The areas of concern that are most important for explaining the cross-section of privacy valuations are "Companies can target products to you based on your income," "Your family will be able to see your income," "Your neighbors will be able to see your income," and "Potential employers will be able to see your income." In other words, on the intensive margin, the most important factors are those related to social comparisons and market power.

The existence of considerable heterogeneity in the subjective value of privacy suggests that there are many aspects of a tax disclosure regime which may be valued differently by different individuals. My survey will test a novel approach for eliciting the subjective costs from a change in policy design via a direct elicitation mechanism. My approach differs from the usual conjoint variation approach, which relies on presenting individuals with menus of policy options. This limits my ability to test the valuation of multiple program dimensions simultaneously, but it identifies compensating and equivalent variations for all respondents. Such an approach is appropriate in a setting where the sample size is small and the researcher does not have a prior about the relative prices needed for a successful conjoint variation exercise. Surprisingly, I find that the making tax record searches anonymous decreases the WTA and WTP by 32% and 8% respectively. This finding potentially reflects the psychological discomfort of knowing who is viewing one's private information.

My paper proceeds as follows. In Section 2, I present key elements of my survey instrument. In

section 3 I present and discuss my results. In Section 4, I conclude and propose some extensions.

2 Survey Methodology

This project leverages results of a pre-post online survey design for a sample of 165 American adults on Prolific. The survey was administered in four waves. First, a small pilot of 15 respondents was fielded in the evening of March 20th around 10PM Eastern Daylight Time (EDT)/7PM Pacific Daylight time (PDT). A second, larger wave of 50 respondents was fielded on March 22nd starting at 10AM EDT/7PM PDT. I will refer to this wave as Wave 1. Wave 2 was fielded on March 22nd around 1PM EDT/10AM PDT. Wave 3, the final wave, was also fielded on March 22nd at 8PM EDT/5PM PDT. The survey is balanced between men and women, and restricted to respondents over the age of 18. No other filters were employed in the recruitment stage. Table 1 shows summary statistics for some key demographic characteristics, alongside their population estimate equivalents based on Current Population Survey, American National Election Survey, and IRS Statistics of Income statistics.

One potential concern with using a survey to study tax privacy is that respondents may be unfamiliar with tax privacy concepts. In the United States, respondents may have never heard of tax return disclosure programs. With this in mind, the survey instrument was designed to engage respondents in a deliberative evaluation process. First, respondents are asked to define privacy in their own terms. Then, a series of questions help them take stock of their privacy endowment. Following this, the survey introduces them to tax return disclosure programs in other countries. Respondents are then asked to register their subjective beliefs about the positive and negative effects of tax disclosure. Finally, respondents engage in a hypothetical revealed preference exercise, which is designed to help respondents discover their own value of privacy. The intuition behind the survey design is discussed in greater detail below, and a detailed description of the survey instrument can be found in the Appendix.

Great care was taken to ground survey questions in extant survey research on data privacy. In particular, the questions used to measure the privacy endowment are based on an Pew survey of American adults titled “Americans and Privacy: Confused, Concerned and Feeling Lack of Control Over Their Personal Information” (Auxier et al. (2019)). I measure the privacy endowment for general forms of personal information in ways that mirror the Pew survey, which is designed to be representative of American adults. This allows me to assess the external validity

Table 1: Survey Sample Summary Statistics

	Count	Proportion	Population Est.
White	131	.793	.609
Black	13	.078	.122
Asian	8	.048	.059
Hispanic	16	.096	.191
Male	79	.478	.496
College+	107	.648	.635
Worked 2022	115	.696	.603
2022 Income $\geq$ \$50k	85	.515	.661
Self Employment	39	.236	.060
Plan to file taxes	130	.788	.514
		Average	ANES Average
Michigan Party ID (7-point)		5.12	4.09
		Median	Population Median
Age		32	39
N	165		

of my findings. I find that 59.39% of my sample reports following privacy news somewhat or very closely, compared to 57% in the Pew Survey. Individuals in my sample report slightly lower levels of concern over whether different entities know too much of their private information, and they report more control over who can access their browsing history, internet searches, purchases, and social media posts.

2.1 Assessing the Tax Privacy Endowment

Data privacy can be defined as the ability to control what private information is shared with others, and who has access to that information. With this in mind, I build a joint measure of the tax privacy endowment which focuses on each of the two elements separately. The first captures the amount of control individuals think they have over their tax information. Question 1 measures this margin with respect to last year's taxable income and taxes paid. Later on, the survey also measures respondents' perceptions of how easy it would be for different entities to surmise their taxable income. The second margin captures respondents' perceived sensitivity over the private information in last years' taxable income and taxes paid. Question 2 elicits the level of concern respondents' have over whether different entities know too much about the information in last years' tax return.

Question 1. Now we would like to focus on personal information related to your financial situation... how much control, if any, do you think you have over who can access the following types of information? *Options: A lot of control, Some control, A little control, No control, Not applicable*

- a. Your total income from last year
- b. The amount that you paid in income taxes on last year's income

Question 2. Thinking again about specific people or groups who might have access to information about your income and taxes paid... **How concerned are you, if at all, about how much information the following people or groups might know about your income from last year and taxes you owe on that income?** *Options: Concerned a lot, Somewhat concerned, Concerned a little, Not concerned, Not applicable*

- a. Law enforcement agencies
- b. Your employer

- c. The companies you buy things from
- d. Your spouse
- e. People who may know you but are not in your immediate circle (i.e. friend of a friend)

The choice of entities in Question 2 reflects the practice used in the Pew survey of data privacy. I use Question 1 to build an index of control over tax information. For each sub-part a and b, I code “no control” as 0, “a little control” as 1, “some control as 2”, and “a lot of control” as 3. I then take the simple average of the two sub-indices to build the index of tax privacy control. I use Question 2 to create an index of concern about tax privacy. The construction of the index is similar. “Not concern” is coded as 0, “Concerned a little” is coded as 1, “Somewhat concerned” is coded as 2, and “Concerned a lot” is coded as 3. The simple average of all 5 sub-indices is used to build the index of tax privacy concern.

2.2 Introducing Tax Return Disclosure

The United States has no general income tax return disclosure program, with some limited exceptions for delinquent filers at the state level ([Perez-Truglia and Troiano \(2018\)](#)). As such, some respondents may be skeptical or even alarmed about the hypothetical choice exercise later used to measure privacy valuations. As such, an important component of the survey instrument is a module designed to introduce respondents to the income tax return disclosure programs that will be valued in the hypothetical choice exercise.

The first key piece of information provided to respondents is that other countries have successfully implemented tax return disclosure programs. Second, respondents are told that such programs typically only reveal summary information on taxpayers’ income and taxes paid, rather than specific private information about place of work or residence. Third, the survey notes that such programs ensure that the anonymity of searches is not protected: all taxpayers know who searches for their information and when.

The survey continues by acknowledging that the United States does not have a similar income tax return disclosure program. Despite this, it may be possible for others to accurately estimate their taxable income and taxes paid. Respondents are thus asked assess how easy or difficult it would be for different entities to accurately guess these pieces of information. This question provides an additional measure of the control individuals have over who might know their taxable income and taxes paid. It complements and validates the privacy endowment measures discussed

in the previous sub-section. It also provides a measure of the privacy endowment which is better tailored for the specific hypothetical choice exercise I employ later in the survey.

Question 3. The United States does not have an income tax return disclosure policy. United States law treats income tax returns as private records, like a bill of health or an academic transcript.

However, **it may be possible for people or entities to find or guess your income and taxes paid with some accuracy.** How easy do you think it would be for the following people or groups to accurately estimate **your income earned in 2022 and taxes paid on that income?** *Options: Extremely difficult, Somewhat difficult, Somewhat easy, Extremely easy, Not applicable*

- a. Law enforcement agencies
- b. Your employer
- c. The companies you buy things from
- d. Your spouse
- e. A friend of a friend

The deliberative exercise continues with a segment meant to help respondents evaluate the potential pros and cons of a tax return disclosure scheme. For a series of 10 statements which describe ways that tax return disclosure could affect individuals, I ask respondents whether each is expected to have positive effects, negative effects, or not much of an effect. This module was designed to help respondents think explicitly about the specific pros and cons of tax return disclosure without priming them on the potential positive or negative effects of such policies. It also allows the researcher to understand subjective expectations regarding the potential effects of the program.

Question 4. The following list shows some ways that a tax disclosure program could affect you. Please put each statement in a bin according to whether you think it will affect you positively, negatively, or neither. Then, rank the items in each bin in order of importance. There are no correct or incorrect answers, we just want to understand your views. *Options: Will affect you positively, Will affect you negatively, Will not have much of an effect on you*

- a. People will know whether or not you are paying taxes, and how much.
- b. You will be able to see the income of your coworkers.
- c. You will be able to understand where you stand in the income distribution.
- d. Your coworkers will be able to see your income.
- e. Companies can target products to you based on your income.
- f. Your information will be available to people without a need to know it.
- g. Potential employers will be able to see your past income.
- h. Your family will be able to see your income.
- i. Your neighbors will be able to see your income.
- j. You will be able to see anybody's income.

For the analysis, I create individual indices for each of the 10 areas of concern. When a factor is identified by each respondent as having a positive effect, it is coded as 1. When a factor is identified as having a negative effect, it is coded as -1. Finally, when a factor is identified as not having much of an effect, it is coded as 0.

This exercise is followed by an open-ended question which allows respondents to register their own concerns and thoughts about tax disclosure programs. Interestingly, despite not being required to answer this question to receive full compensation, approximately half of respondents chose to answer it.

Question 5. We would like to give you the opportunity to share with us any other thoughts you have about how you think a tax return disclosure program would affect you personally. Are there any other benefits or risks you feel were not captured in the items above? You are not required to answer this question to receive compensation.

Finally, respondents are asked to weigh the pros and cons of tax return disclosure programs, and say whether the pros outweigh the cons. This question is important as it allows me to understand the relative weight that respondents put on the pros versus the cons that they enumerate in questions 4 and 5.

Question 6. Given what you have learned so far, which of the following two statements most accurately describes your thoughts on tax return disclosure programs.

- a. The benefits I will get from tax return disclosure outweigh the risks.
- b. The risks I will face with tax return disclosure outweigh the benefits.

2.3 Hypothetical Choice Exercise

Now that respondents have been introduced to tax return disclosure programs, I employ two different versions of a hypothetical choice exercise to measure the perceived value of tax privacy. One is designed to measure the willingness to pay (WTP) to avoid disclosure of tax information. The other is designed to capture the willingness to accept (WTA) to have the information disclosed. The baseline version of the hypothetical choice exercise for the willingness to pay arm reads as follows:

Question 7. We would now like you to think about a hypothetical world where the Internal Revenue Service (IRS) allows you to pick between:

- Option 1: Disclosing your total taxable income and taxes paid last year (this year's tax return). You will be given the identity of individuals who look up your information.
- Option 2: Paying a tax penalty to opt out of the program. Your taxable income and taxes paid last year will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

Attention checks are used to verify that two key details come through to respondents: (1) that searches are not anonymous, and (2) that a fee will be assessed if Option 2 is chosen. 100% of respondents answered the attention checks correctly. In the WTA branch, the second attention check ensures that respondents understand Option 1 is associated with a refundable tax credit.

The survey instrument proceeds to ask whether respondents are willing to disclose their taxable income and taxes paid at a penalty of \$0. The survey also registers the subjective belief that others will disclose their taxable income and taxes paid at the zero fee level.

Respondents opt not to disclose their tax information at the zero fee level are taken to a new page which is designed to help respondents determine their privacy valuation. This is done to address concerns about the cognitive load associated with asking for the privacy valuation directly.

Question 8. We will now present you with different fee levels. For each one, select the option you are more likely to choose:

- Option 1: disclose your total taxable income and taxes paid last year (this year's tax return). You will be given the identity of individuals who look up your information.
- Option 2: pay a tax penalty to opt out of the program. Your taxable income and taxes paid will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

The penalty options are \$5, \$25, \$50, \$100, \$200, \$500, \$500, and \$1,000. This exercise is likely to reduce the cognitive load of answering the direct elicitation question which follows:

Question 9. What is the highest penalty you would pay to avoid disclosing your information under this hypothetical program?

We also register subjective beliefs for the behavior of others at two other fee levels: \$200, and the self-reported willingness to pay from Question 9.

Respondents are randomized into three study arms as follows. One third of respondents are given the WTP version of the exercise as above. One third of respondents are given the WTA version, which elicits the refundable tax credit needed for the respondent to accept disclosure of their tax information. For these first two branches, respondents are also queried for their privacy valuation when the searches are not anonymous. The final third is given both the baseline WTP and WTA exercises, but we do not vary the anonymity of searches.

The design of this module differs in important ways to the conjoint analysis approach, which has been used extensively in the economics of privacy and environmental economics to value goods and their attributes when a market for such a good does not exist. The idea with conjoint analysis is to present different policy alternatives to the user as bundles of features (including the price) and ask them to select their most preferred option. Such an approach is not well suited

to the types of research questions I hope to ask, as it generally fails to identify the distribution of privacy valuations. It is also limited in that it can only identify the compensating variation, a statistic closely related to the WTA.

Departing from the well-established conjoint variation approach comes with limitations. Namely, it is more difficult to value specific elements of the policy, rather than the policy as a whole. For example, I am not able to separately identify the perceived costs associated with taxable income disclosure relative to the disclosure of taxes paid. Still, the direct elicitation exercise is well-justified in this setting, where we hope to learn about the entire unconditional distribution of privacy valuations. The direct elicitation approach is also well suited for measuring the privacy paradox, which requires measuring both the WTP and the WTA.

3 Results and Discussion

3.1 Assessing the Tax Privacy Endowment

The economics of privacy literature suggests that the cost of a perceived privacy loss crucially depends on the privacy endowment. Specifically, we believe that an individuals' willingness to pay to protect their privacy will depend on both the degree of control individuals perceive over their tax information as well as perceived sensitivity of the information subject to disclosure.

Figures 1 and 2 compare the degree of concern individuals report over how much private information different entities might know about them, separately for (1) general types of personal information and (2) taxable income and taxes paid last year. The key take-away from this figure is that individuals report less concern over their tax information compared to other mundane online activities which are already subject to corporate and government surveillance. This table also shows evidence that individuals misperceive the amount of control they have over their data. Many report having "a little control," "some control," or "a lot of control" over who can access their political contributions, despite such contributions being subject to public disclosure. Similarly, they report a relatively high degree of control over who can access their internet activities, many of which are collected by corporations, identifiable, and at times sold in secondary markets.

Despite lower levels of concern, individuals report a higher degree of control over who can access their tax information, relative to other private information. Figure 3 shows that a greater proportion of individuals report having "some control" or "a lot of control" over who can access

Figure 1: How concerned are you, if at all, about how much personal information the following people or groups might know about you?

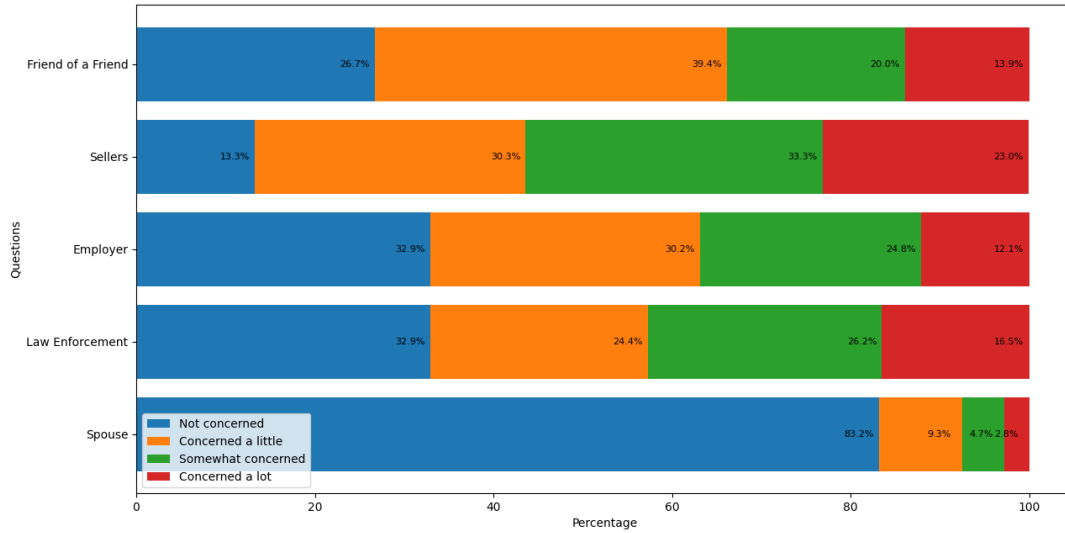


Figure 2: How concerned are you, if at all, about how much information the following people or groups might know about your income from last year and taxes you owe on that income?

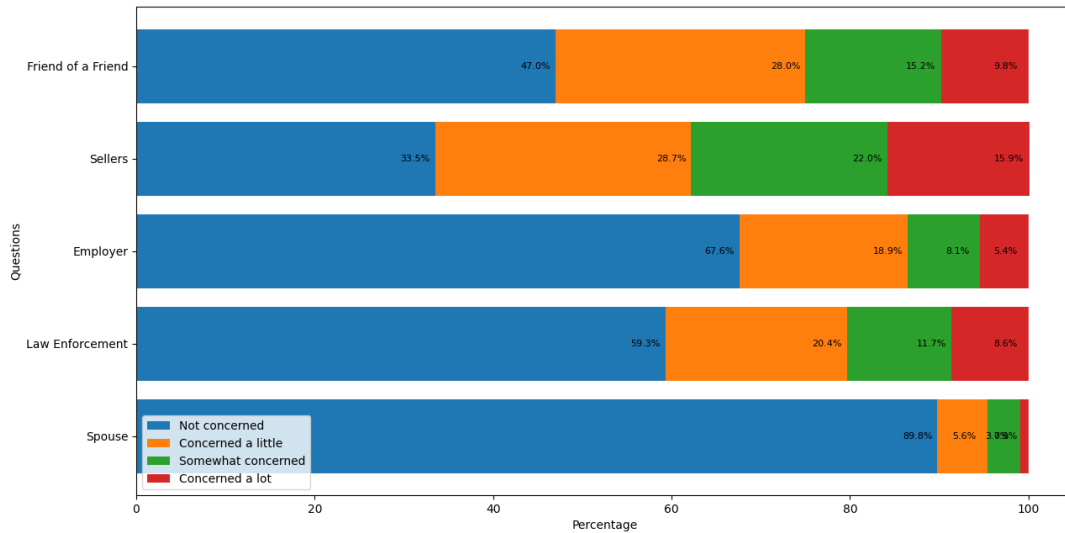


Table 2: Subjective Expectations Summary Statistics

their tax information relative to other forms of information. This apparent negative relationship between concern and control stands in contrast with the positive relationship suggested by Figure 4. Entities which are associated with higher levels of concern according to Figure 2 face greater difficulty in surmising private tax information.

3.2 Subjective Expectations

The survey collects subjective beliefs about the personal effects of tax return disclosure. Table 2 shows the sentiment respondents register toward each of the 10 specific categories tested. Individuals register the most negative attitudes, on net, toward "Your information will be available to people without a need to know it," "Your neighbors will be able to see your income," and "Potential employers will be able to see your income." They associate positive effects with the statements "You will be able to understand where you stand in the income distribution," "You will be able to see the income of your coworkers," and "You will be able to see anybody's income."

The sentiment individuals perceive toward each of the statements is different from the weight they put on each. The survey instrument collects data on whether the benefits of tax return disclosure outweigh the risks. I run a probit regression where the dependent variable tells us whether individuals believe that the benefits outweigh the risks. The independent variables are constructed as an index that summarizes the net sentiment toward each of the 10 statements. A value of 1 is associated with positive expected effects, a value of 0 is associated with neutral expected effects, and a value of -1 is associated with negative expected effects. Table 3 shows the relative contribution of each factor to the probability that an individual will determine that the benefits of tax disclosure outweigh the risks, calculated as marginal effects evaluated at the mean of all factors. It shows that individuals put the most weight on "People will know whether or not you are paying taxes, and how much," "You will be able to see the income of your coworkers," "Companies can target products to you based on your income," "Your information will be available to people without a need to know it," and "Your neighbors will be able to see your income."

Figure 3: How much control, if any, do you think you have over who can access the following types of information?

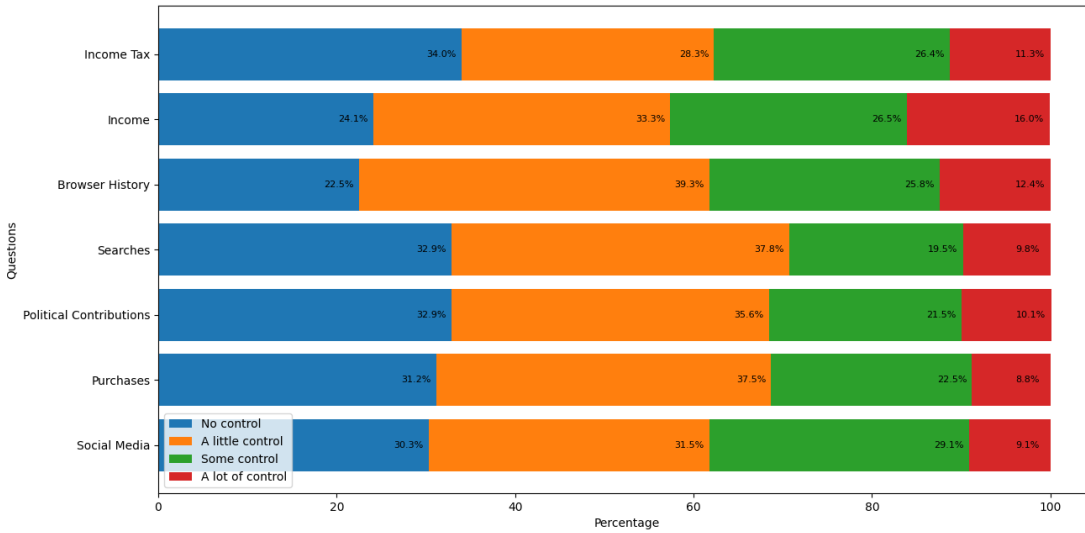


Figure 4: How easy do you think it would be for the following people or groups to accurately estimate your income earned in 2022 and taxes paid on that income?

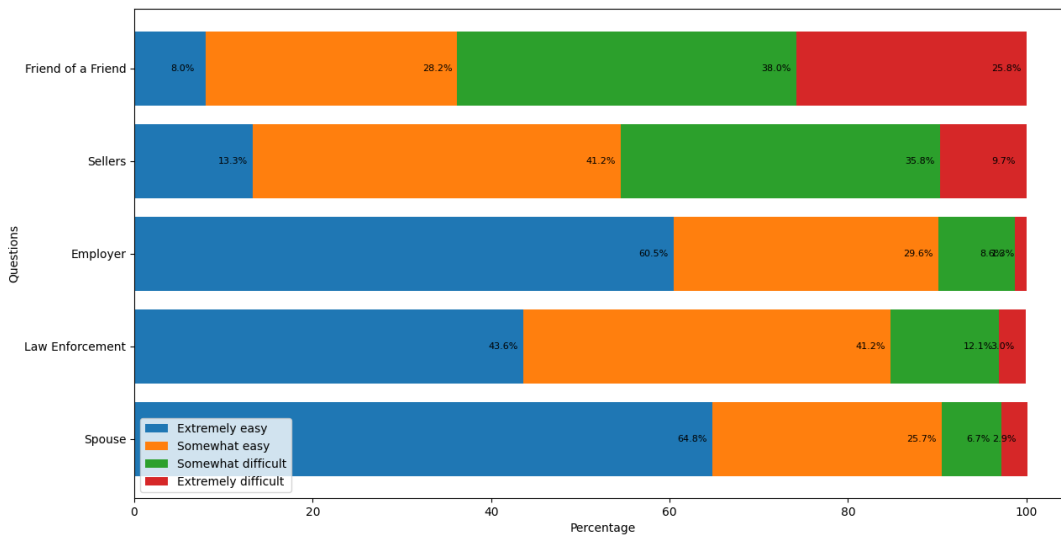


Table 3: Marginal Effect of Subjective Expectations on Cost-Benefit Test

	Pr(Benefits > Risks)
People will know whether or not you are paying taxes, and how much.	0.529** (0.231)
You will be able to see the income of your coworkers.	0.489** (0.220)
You will be able to understand where you stand in the income distribution.	0.109 (0.247)
Your coworkers will be able to see your income.	0.123 (0.205)
Companies can target products to you based on your income.	0.440** (0.177)
Your information will be available to people without a need to know it.	0.477* (0.273)
Potential employers will be able to see your past income.	0.244 (0.193)
Your family will be able to see your income.	0.089 (0.290)
Your neighbors will be able to see your income.	0.589** (0.258)
You will be able to see anybody's income.	0.089 (0.199)
Observations	165

This table shows the marginal effect of a one unit improvement in the expected effect of each factor on respondents' judgement that the benefits of tax return disclosure outweigh the risks. Marginal effects are evaluated at the mean. All regressions include a series of demographic controls. Specifically, I include a dummies for whether the individual reports salary disclosure, whether they report income under \$25,000, whether they report income between \$25,000 and \$49,999, whether they report a college education, whether they report self-employment in the past year, whether they report unemployment in the past year, whether they intend to file taxes for tax year 2022, whether they expect a refund, and whether they identify as male. I also control for the 7-point Michigan Party ID measure and age.

3.3 The Distribution of Tax Privacy Valuations

The survey instrument estimates the distribution of privacy valuations in dollar terms. Table 4 shows the summary statistics of both the Willingness-to-Pay and the Willingness-to-Accept measures of the value of privacy. In the survey sample, the median WTP is \$50, and the median WTA is \$200. Both distributions are characterized by a long tail of individuals who report very high privacy valuations, so that the mean WTP is \$257 (5.1 times larger than the median), and the mean WTA is \$3,491 (17.5 times larger than the median).

Table 4: Privacy Valuation Summary Statistics

	Count	Mean	Median	S.D.	Min	Max
WTP	124	257.76	50	943.7809	0	10000
WTA	123	3491.83	200	15491.83	0	100000
WTP-Anonymous	91	236.11	50	383.8719	0	1500
WTA-Anonymous	89	2365.22	500	15028.97	0	100000
<i>N</i>	164					

This table shows summary statistics for our privacy valuation measures. The WTP is the willingness to pay to protect tax information, the WTA is the willingness to accept to have information disclosed. The anonymous versions show the privacy valuations when the searching for information is anonymous.

The thick tail of high privacy valuations across both measures suggests that there are key distinctions between individuals who report low versus high privacy valuations. In what follows, I opt to separate my analysis and interpretation of the data into two sections. At first, I will focus my analysis on individuals below the 90th percentile of their respective distributions.

Side note: in the following, I put aside the long tail of high-privacy value individuals in favor of understanding the determinants of the value of privacy for the general population. I do so by excluding individuals whose privacy valuations exceed the 90th percentile of the distribution of WTP and WTA valuations, respectively.

3.4 WTP vs WTA

I observe a large gap between the WTP and the WTA, both within and across subjects. This finding is consistent with prior literature from both behavioral economics and the economics of privacy literature, which establishes that the WTA tends to be larger than the WTP. One way to rationalize this gap appeals to prospect theory, which states that individuals are risk averse over money losses and risk seeking over money gains. Such a theory is not directly testable here, as the survey instrument did not seek to measure asymmetric risk aversion. That said, parametrizing

the prospect-theory utility function in accordance with experimental evidence predicts that the Willingness-to-Accept ought to be around four times the average Willingness-to-Pay ([Barberis \(2013\)](#)). Accordingly, the median WTA is about four times larger than the median WTP. The same is true for the subset of respondents who receive both versions of the hypothetical choice exercise, although nearly half of respondents report a WTA greater than 4 times the WTP.

Putting prospect theory aside, another potential source of the discrepancy is framing. Specifically, the concern is that individuals perceive the WTP exercise as an option to opt-out but perceive the WTA exercise as an option to opt-in. Such perceptions could lead the respondent to believe that protecting tax return data is more desirable in one setting versus the other, for reasons unrelated to the underlying value of privacy. For a subset of 74 respondents who were asked both the WTP and WTA versions of the revealed preference exercise, I regress their willingness-to-pay on the gap between the two measures. The intercept term of such a regression, which is \$83, gives the predicted privacy valuation for a respondent who answers both questions consistently. We can see this as one framing-adjusted value of privacy. One drawback with such an approach is that the underlying value of privacy may be systemically related to the measured gap between the WTP and the WTA. Thus, the predicted value of privacy when the gap is zero may provide a biased estimate of the population average value of tax privacy. An alternative approach is to learn from the following system of equations estimated via Seemingly Unrelated Regression (SUR):

$$\begin{aligned} WTP_i &= \alpha^{WTP} + \beta^{WTP} WTA_i + \varepsilon_{1,i} \\ WTA_i &= \alpha^{WTA} + \beta^{WTA} WTP_i + \varepsilon_{2,i} \end{aligned}$$

The fixed point of these two equations works out to be a willingness to pay of \$88 and a willingness to accept of \$544. This is the pair of values where the WTP and the WTA are consistent with one another. That is to say, a respondent with a WTP of \$88 is expected to report a WTA of \$544, and vice-versa. More work is needed to understand whether this value constitutes a meaningful statistic.

Finally, it is worth noting that although the privacy literature often assumes that WTP and WTA are equal, and behavioral economics asserts that it should not, one need not rely on behavioral economics to expect that the two measures may, in general, differ. The difference

between the two reflects the distinction between a compensating variation and an equivalent variation. The compensating variation (WTA) reflects the amount needed to make a consumer just as well off in the world where their taxes are disclosed relative to the status-quo. The equivalent variation (WTP) reflects the amount that consumers will have to give up in the status-quo world to be indifferent with the world where their taxes are disclosed. In general, the compensating and equivalent variations are expected to be equal only under the assumption that there are no wealth effects associated with tax disclosure. As we will show later, individuals perceive that losses in tax privacy have the potential to impact an individual’s ability to extract income from their labor, or may reduce their ability to consume out of their income. Therefore, the stringent assumptions necessary for the WTP and the WTA to be equal may not be met.

Regardless of the mechanisms that lead to a gap between the WTP and the WTA, the observed gap between them can be seen as evidence of the privacy paradox. Under the interpretation of the WTA as a compensating variation, respondents perceive a high cost to tax return disclosure, but, as suggested by the lower WTP, they are only willing to pay a fraction of that cost to protect their information. However, the discussion in this section shows that more work is needed to understand the sources and consequences of the gap between the two measures.

3.5 The Information Content of Tax Privacy Valuations

This section seeks to characterize the distribution of privacy valuations as functions of observable characteristics. I approach this question from two angles. One examines the ex-ante factors which determine the value of tax privacy. The second explores the role of subjective expectations. This analysis is distinct from the results shown in Table 3, as it targets the intensive margin of privacy valuations rather than the extensive margin of the cost-benefit judgement.

Subsection 3.3 shows that it is not obvious which of the two measures of the value of tax privacy most closely conforms to the true statistic of interest. With this in mind, I conduct all analyses separately for the WTP and the WTA.

Since in both cases the dependent variable is censored at zero and right-skewed. To deal with this, all regressions rely on the Tobit estimator, which accounts for the probability that any individual observation is censored. All regressions include a set of demographic controls. Specifically, I include a dummies for whether the individual reports salary disclosure, whether they report income under \$25,000, whether they report income between \$25,000 and \$49,999, whether they report a college education, whether they report self-employment in the past year,

whether they report unemployment in the past year, whether they intend to file taxes for tax year 2022, whether they expect a refund, and whether they identify as male. I also control for the 7-point Michigan Party ID measure and the respondent’s age.

I start by discussing how the ex-ante perceived privacy endowment drives the value of tax privacy. Table 5 shows the relationship between the three privacy endowment measures and reported privacy valuations. For the WTP-based privacy valuations, I find that individuals who report higher concern over others knowing too much about their tax information have higher privacy valuations. The more control individuals perceive over who has access to their tax information, the higher the WTP. Finally, the more difficult individuals think it is to guess their income and taxes earned, the lower the WTP. The regression estimates for the WTA-based regressions are small and imprecise.

Table 5: Role of Privacy Endowment						
	Dependent variable: WTP			Dependent variable: WTA		
	(1)	(2)	(3)	(4)	(5)	(6)
Index of Concern	37.915 (30.020)	38.662 (30.072)	33.915 (29.845)	-8.643 (281.258)	5.010 (280.911)	-4.559 (279.575)
Guess Difficulty		-13.281 (36.801)			226.137 (361.323)	
Index of Control			25.867* (15.252)			148.344 (139.226)
Observations	114	114	114	114	114	114
R^2						
Pseudo R^2	0.029	0.029	0.031	0.010	0.010	0.010

This table shows coefficient estimates for a regression of the log of the combined privacy measure and factors meant to measure the privacy endowment. All regressions include a series of demographic controls. Specifically, I include a dummies for whether the individual reports salary disclosure, whether they report income under \$25,000, whether they report income between \$25,000 and \$49,999, whether they report a college education, whether they report self-employment in the past year, whether they report unemployment in the past year, whether they intend to file taxes for tax year 2022, whether they expect a refund, and whether they identify as male. I also control for the 7-point Michigan Party ID measure and their age.

The portion of the survey discussed in sub-section 2.2 allows me to study how subjective expectations about the impact of tax return disclosure are related to privacy valuations. Due to the small sample, I report results for individual regressions of factors on privacy valuations in columns 1 and 2, and multivariate regressions of including all factors in columns 3 and 4. The coefficients can be interpreted as the relationship between an positive increase in the subjective

impact of each factor on the privacy valuations. In the case of the first factor, the negative coefficients suggest that respondents who believe that "People knowing whether or not they are paying taxes, and how much." is will have positive effects tend to have lower privacy valuations.

The evidence displayed in this table assigns a central role to the following factors: "Potential employers will be able to see your past income," "Your coworkers will be able to see your income," "Companies can target products to you based on your income," "Your neighbors will be able to see your income," and "Your family will be able to see your income." These regressions place less importance on "People will know whether or not you are paying taxes and how much," "You will be able to see the income of your coworkers," "You will be able to understand where you stand in the income distribution," "Your information will be available to people without a need to know it," and "Your will be able to see anybody's income."

It is not surprising that many of the most important factors relate to the impact of salary transparency on wages. The important role assigned to coworkers and potential employers is consistent with the evidence from the literature on salary transparency ([Cullen \(2023\)](#)). These results also place an important weight on social considerations, as shown by the significant coefficients associated with families, neighbors, and coworkers viewing tax information. I find that respondents who are worried about being targeted by companies based on their reported income and taxes report higher privacy valuations. This is a novel finding. More puzzling are the roughly null effects on "You will be able to understand where you stand in the income distribution," given that [Perez-Truglia and Troiano \(2018\)](#) predicts that salary transparency leads to an increase in the subjective well-being gap between the rich and the poor. One reason for this might be that ex-ante, individuals do not have a good sense for how their income compares with others'. Finally, the modest role of tax transparency specifically is surprising, but consistent with the finding in [Reck et al. \(2022\)](#) that social comparisons drive searches for tax information rather than tax compliance.

There are some important blind-spots in this portion of the study which need to be addressed in the future. For one, more can be done to study the effect of tax transparency itself on privacy valuations. Second, we need to know more about how individuals respond to tax comparisons. Does finding that a similar worker pays more or less in taxes lead to changes in tax compliance? Finally, many of the factors studied in Table 6 point to higher privacy valuations in the data. More could be done to study factors that explain why, despite this, privacy valuations are lower than expected.

Table 6: Effect of Subjective Expectations on Privacy Valuations

	(1) WTP	(2) WTA	(3) WTP	(4) WTA
People will know whether or not you are paying taxes, and how much.	-15.530 (21.927)	-83.762 (183.776)	14.609 (22.102)	26.606 (195.896)
You will be able to see the income of your coworkers.	-33.331* (17.260)	-46.487 (157.348)	-18.552 (18.002)	29.784 (177.546)
You will be able to understand where you stand in the income distribution.	-28.194 (19.599)	-23.945 (179.803)	-3.015 (18.976)	93.496 (185.713)
Your coworkers will be able to see your income.	-64.701*** (19.852)	-344.278* (179.005)	-32.608 (20.866)	-300.787 (201.594)
Companies can target products to you based on your income.	-38.694** (19.091)	-312.362* (166.426)	-32.212* (18.523)	-342.136** (165.750)
Your information will be available to people without a need to know it.	-6.272 (28.092)	-632.571* (325.630)	14.782 (27.450)	-603.965* (326.563)
Potential employers will be able to see your past income.	-53.843*** (18.505)	-400.339** (161.842)	-26.982 (17.850)	-329.241* (169.413)
Your family will be able to see your income.	-87.003*** (25.423)	-385.055* (225.054)	-43.004 (27.374)	-197.621 (263.309)
Your neighbors will be able to see your income.	-100.194*** (26.232)	-229.675 (232.613)	-70.716*** (25.867)	18.050 (249.613)
You will be able to see anybody's income.	-17.137 (19.178)	-62.006 (176.242)	-0.160 (17.794)	-99.197 (171.811)
Constant			-24.798 (66.620)	-15.164 (715.489)
Observations	114	114	114	114
Pseudo R^2			0.055	0.020

This table shows coefficient estimates for a regression of each privacy valuation measure and an index of whether each factor is expected to affect the respondent positively (+1), negatively (-1), or neither (0). Due to the small sample, I report results for individual regressions of factors on privacy valuations in columns 1 and 2, and multivariate regressions of including all factors in columns 3 and 4. All regressions include a series of demographic controls. Specifically, I include a dummies for whether the individual reports salary disclosure, whether they report income under \$25,000, whether they report income between \$25,000 and \$49,999, whether they report a college education, whether they report self-employment in the past year, whether they report unemployment in the past year, whether they intend to file taxes for tax year 2022, whether they expect a refund, and whether they identify as male. I also control for the 7-point Michigan Party ID measure and their age.

3.6 The Value of Search Transparency

My survey studies the impact of search transparency on privacy valuations. In Norway, a search transparency reform in 2013 was associated with a large decline in the number of searches, suggesting that search transparency leads to greater privacy. Surprisingly, when individuals are told that those who search their tax information will be anonymous, both the mean WTP and WTA drop, by about \$21 and \$1,126 respectively. The median WTA rises by \$300. This points to the potential costs of actually knowing who is searching for one's tax returns. Ignorance is bliss. More work needs to be done to understand why this is the case. In particular, future work should seek to elicit subjective expectations under the premise that searches are anonymous.

4 Conclusion

This paper presents the results of a pilot survey that seeks to identify the private costs of tax transparency. I find that tax privacy valuations crucially depend on the strategy used to measure them. In particular, I find that the median willingness to accept (WTA) disclosure of last years' taxable income and taxes paid is four times larger than the willingness to pay (WTP) to protect the same information. I view this result as novel evidence on the privacy paradox. Individuals perceive a high cost to tax return disclosure, but are only willing to spend a fraction of that cost to protect it. Certainly, much more work needs to be done to understand the gap between the two measures.

I study the extent to which the ex-ante privacy endowment explains the distribution of privacy valuations. The degree of concern individuals report over the amount others know about their tax information is important, but surprisingly, the degree of ex-ante control individuals perceive over their tax information matters less. I also study the role of subjective expectations regarding the impact of tax return disclosure on both the distribution of privacy valuations and the belief that the benefits of tax disclosure outweigh the risks. I also study the role of subjective expectations. I find that on the extensive margin, the most important factors are "People will know whether or not you are paying taxes, and how much," "You will be able to see the income of your coworkers," "Companies can target products to you based on your income," "Your information will be available to people without a need to know it," and "Your neighbors will be able to see your income." On the intensive margin, the most important factors are "Potential employers will be able to see your past income," "Companies can target products to you based on your

income," "Your neighbors will be able to see your income," and "Your family will be able to see your income."

This research is the first to use a survey to measure tax privacy valuations in dollar terms. I am also the first to study which factors drive why and how much Americans value their tax privacy. I innovate in the area of survey design by developing a deliberative approach to study the effect of policies which have not been implemented in the real world. More work can be done to test the value of such an approach.

My findings can be used to inform research on salary transparency. In particular, my estimates of the impact of coworker comparisons, and the prevalence of this concern in the population, can be used to tune general equilibrium models in the spirit of [Cullen and Pakzad-Hurson \(2021\)](#). My research can also be used to learn about the impact of social comparisons on the value of privacy.

The findings of my research have important implications for the design of tax disclosure policies. In particular, it is not clear whether policymakers should put more weight on the willingness to pay or the willingness to accept. One place where this distinction is especially salient is in the design of exemptions to tax return disclosure. In particular, the small estimate of the willingness to pay suggests that the private behavioral response to opt-out policies may be sub-optimal. At the same time, such a small value of the WTP may suggest that policymakers need not worry about behavioral distortions generated by, for example, an means-tested disclosure rule. In any case, understanding why there is such a large gap between the WTP and the WTA will be important for the use of surveys in cost-benefit-analysis.

The next step is to edit the survey with these findings in mind, so that it focuses more explicitly on the factors that I have discovered matter the most. I will also hope to learn more about how individuals perceive tax return disclosure under anonymous searches. Given that the presently productive nature of salary transparency literature, I believe that focusing on the behavioral impacts of tax transparency on tax compliance is a promising direction for my own work. In particular, I envision an information experiment that shows individuals how much similar workers pay in taxes, offering a randomly valued coupon for tax preparation services to determine the private costs individuals are willing to incur to review their tax compliance behavior.

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Intro

About the study:

We invite you to participate in a research study about data privacy by completing a survey that will take approximately 15 minutes to complete. We are economics researchers at the University of Michigan in Ann Arbor. To participate, individuals must meet the following criteria:

- **Currently residing in the United States**
- **Over the age of 18**

*** You will not receive compensation if you do not meet the above conditions.**

Benefits of the research:

Information from this study may benefit people now or in the future, as the results of this study will help us better understand how people think about privacy.

Risks and discomforts:

Participation involves completing the survey via the internet, which presents no more risk than your typical daily use of the internet.

Compensation:

You will receive a payment of \$3.50 if you answer 90% of the questions in the survey. If you respond to all questions thoughtfully, you will receive an extra \$1, for a total compensation of \$4.50.

Privacy and Anonymity:

All information collected for this survey is anonymous. Prolific will never share your identity with us, and we will never share your answers with Prolific. Your data will not be linked to your identity in any way and your Prolific ID will be deleted from our database as soon as we give you credit points.

Voluntary participation

Participating in this study is completely voluntary. You are not compelled to complete the survey, but **you will only be fully compensated if you answer every question in the survey.**

Questions and contact:

If you have any questions about this research study, please contact Gerardo Sanz-Maldonado at sanzg@umich.edu.

Please indicate whether you agree to continue with the research study.

- ☐ I agree to participate in the study
- ☐ I do not agree to participate in the study

Please enter your Prolific ID:

Please indicate your age

Definition of privacy

The first section of this survey will help us understand how you think about privacy in general.

In your own words, what does "privacy" mean to you? *Please limit your answer to 500 characters. This is the only open-ended question in this survey.*

How closely, if at all, do you follow news about privacy issues?

- ☐ Very closely
- ☐ Somewhat closely
- ☐ Not too closely
- ☐ Not at all closely

Privacy Endowment

Thinking about specific types of information that different entities might want to know about you... how much control, if any, do you think you have over who

can access the following types of information?

The search terms you use online	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
The websites you visit	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
Your political contributions	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
Your posts and activities on social media	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
The private conversations you've had online or using text messaging	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐

Now we would like to focus on personal information related to your financial situation... how much control, if any, do you think you have over who can access the following types of information?

The amount that you paid in income taxes on last year's income	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
Support you may receive from the government (i.e. Earned Income Tax Credit, Medicare, Social Security, Disability...)	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
Your total income from last year	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐

Any investments you may have	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐
Any debts you may owe	A lot of control ☐	Some control ☐	A little control ☐	No control ☐	Not Applicable ☐

Are your earnings from one or more of your jobs currently subject to disclosure to coworkers or the general public?

- ☐ Yes
- ☐ No
- ☐ Don't know

Now thinking about specific people or groups who might have access to your personal information... How concerned are you, if at all, about how much personal information the following people or groups might know about you?

Law enforcement agencies	Concerned a lot ☐	Somewhat concerned ☐	Concerned a little ☐	Not concerned ☐	Not applicable ☐
Your employer	Concerned a lot ☐	Somewhat concerned ☐	Concerned a little ☐	Not concerned ☐	Not applicable ☐
The companies you buy things from	Concerned a lot ☐	Somewhat concerned ☐	Concerned a little ☐	Not concerned ☐	Not applicable ☐
Your spouse	Concerned a lot ☐	Somewhat concerned ☐	Concerned a little ☐	Not concerned ☐	Not applicable ☐
	Concerned	Somewhat	Concerned	Not	Not

People who may know you but are not in your immediate circle (i.e. friend of a friend)

a lot

concerned

a little

concerned

applicable

☐☐☐☐☐

Thinking again about specific people or groups who might have access to information about your income and taxes paid... **How concerned are you, if at all, about how much information the following people or groups might know about your income from last year and taxes you owe on that income?**

Law enforcement agencies

Concerned a lot

Somewhat concerned

Concerned a little

Not concerned

Not applicable

☐☐☐☐☐

Your employer

Concerned a lot

Somewhat concerned

Concerned a little

Not concerned

Not applicable

☐☐☐☐☐

The companies you buy things from

Concerned a lot

Somewhat concerned

Concerned a little

Not concerned

Not applicable

☐☐☐☐☐

Your spouse

Concerned a lot

Somewhat concerned

Concerned a little

Not concerned

Not applicable

☐☐☐☐☐

People who may know you but are not in your immediate circle (i.e. friend of a friend)

Concerned a lot

Somewhat concerned

Concerned a little

Not concerned

Not applicable

☐☐☐☐☐

Educating on Information Disclosure

Many countries make summary information on individual tax returns publicly available. Three notable examples are Norway, Pakistan, and Australia. In most countries with public tax returns, the following details on every individual's tax return are available to the public:

1. **Total Taxable Income**
2. **Total Taxes Paid**

Countries typically require pre-registration to access tax return information. Individuals are notified whenever someone looks up their record, so that viewing tax return details is not anonymous.

The United States does not have an income tax return disclosure policy. United States law treats income tax returns as private records, like a bill of health or an academic transcript.

However, **it may be possible for people or entities to find or guess your income and taxes paid with some accuracy.** How easy do you think it would be for the following people or groups to accurately estimate **your income earned in 2022 and taxes paid on that income?**

Law enforcement agencies	Extremely difficult ☐	Somewhat difficult ☐	Somewhat easy ☐	Extremely easy ☐	Not Applicable ☐
Your employer	Extremely difficult ☐	Somewhat difficult ☐	Somewhat easy ☐	Extremely easy ☐	Not Applicable ☐
The companies you buy things from	Extremely difficult ☐	Somewhat difficult ☐	Somewhat easy ☐	Extremely easy ☐	Not Applicable ☐
	Extremely	Somewhat	Somewhat	Extremely	Not

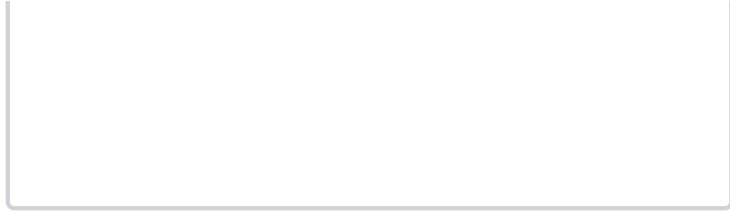
Your spouse	difficult	difficult	easy	easy	Applicable
	☐	☐	☐	☐	☐
A friend of a friend	Extremely difficult	Somewhat difficult	Somewhat easy	Extremely easy	Not Applicable
	☐	☐	☐	☐	☐

The following list shows some ways that a tax disclosure program could affect you. Please put each statement in a bin according to whether you think it will affect you positively, negatively, or neither. Then, rank the items in each bin in order of importance. There are no correct or incorrect answers, we just want to understand your views.

Items	Will affect you positively
You will be able to understand where you stand in the income distribution.	
Potential employers will be able to see your past income.	
Your neighbors will be able to see your income.	
You will be able to see the income of your coworkers.	
Companies can target products to you based on your income.	
Your family will be able to see your income.	
Your coworkers will be able to see your income.	Will affect you negatively
Your information will be available to people without a need to know it.	
	Will not have much of an effect on you

People will know whether or not you are paying taxes, and how much.

You will be able to see anybody's income.



We would like to give you the opportunity to share with us any other thoughts you have about how you think a tax return disclosure program would affect you personally. Are there any other benefits or risks you feel were not captured in the items above? *You are not required to answer this question to receive compensation.*



Given what you have learned so far, which of the following two statements most accurately describes your thoughts on tax return disclosure programs.

- ☐ The benefits I will get from tax return disclosure outweigh the risks.
- ☐ The risks I will face with tax return disclosure outweigh the benefits.

WTP

We would now like you to think about a hypothetical world where the Internal Revenue Service (IRS) allows you to pick between:

- Option 1: **Disclosing your total taxable income and taxes paid last year (this year's tax return).** You will be given the identity of individuals who look up your information.

- Option 2: **Paying a tax penalty to opt out of the program.** Your taxable income and taxes paid last year will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

Will you be given the identity of individuals who look up your information?

- ☐ Yes
- ☐ No

Which of the two options will result in a tax penalty?

- ☐ Option 1: your information will be disclosed
- ☐ Option 2: your information will not be disclosed

If the penalty were \$0, so that opting out of the program was free, which of the following two options are you most likely to choose?

- ☐ Option 1: your information **will** be disclosed
- ☐ Option 2: your information **will not** be disclosed

What percent of the population do you think would choose **Option 2, so that their personal information will not be disclosed**, if the penalty were \$0?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option

Everybody will choose

2

Option 2

0 10 20 30 40 50 60 70 80 90 100

We will now present you with different fee levels. For each one, select the option you are more likely to choose:

- Option 1: **disclose your total taxable income and taxes paid last year (this year's tax return).** You will be given the identity of individuals who look up your information.
- Option 2: **pay a tax penalty to opt out of the program.** Your taxable income and taxes paid will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

If the penalty were \$5...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$5

☐

If the penalty were \$25...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$25

☐

If the penalty were \$50...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$50

☐

If the penalty were \$100...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$100

☐

If the penalty were
\$200...

Option 1: disclose your
information

☐

Option 2: do not disclose, pay
\$200

☐

If the penalty were
\$500...

Option 1: disclose your
information

☐

Option 2: do not disclose, pay
\$500

☐

If the penalty were
\$1,000...

Option 1: disclose your
information

☐

Option 2: do not disclose, pay
\$1,000

☐

What is the highest penalty you would pay to avoid disclosing your information under this hypothetical program?

What percent of the population do you think would choose **Option 2**, so that **they will pay a penalty and their personal information will not be disclosed**, at the maximum penalty you indicated in the previous question?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

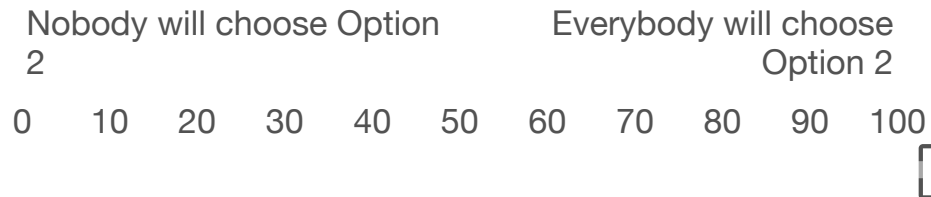
Nobody will choose Option
2

Everybody will choose
Option 2

0 10 20 30 40 50 60 70 80 90 100

What percent of the population do you think would choose **Option 2**, so that **they will pay a penalty and their personal information will not be disclosed**, at a penalty of \$200?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.



WTP_anonymous

We would now like you to think about a hypothetical world where the Internal Revenue Service (IRS) allows you to pick between:

- Option 1: **Disclosing your total taxable income and taxes paid last year (this year's tax return).** You will not be given the identity of individuals who look up your information.
- Option 2: **Paying a tax penalty to opt out of the program.** Your taxable income and taxes paid last year will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

Will you be given the identity of individuals who look up your information?

- ☐ Yes
- ☐ No

Which of the two options will result in a tax penalty?

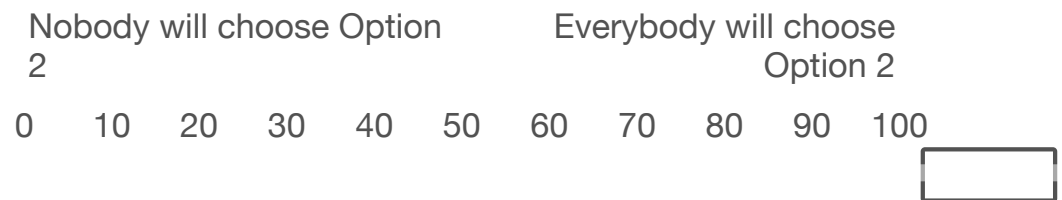
- ☐ Option 1: your information will be disclosed
- ☐ Option 2: your information will not be disclosed

If the penalty were \$0, so that opting out of the program was free, which of the following two options are you most likely to choose?

- ☐ Option 1: your information **will** be disclosed
- ☐ Option 2: your information **will not** be disclosed

What percent of the population do you think would choose **Option 2**, so that **their personal information will not be disclosed**, if the penalty were \$0?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.



We will now present you with different fee levels. For each one, select the option you are more likely to choose:

- Option 1: **disclose your total taxable income and taxes paid last year (this year's tax return).** You will not be given the identity of individuals who look up your information.
- Option 2: **pay a tax penalty to opt out of the program.** Your taxable income and taxes paid last year will not be disclosed. The penalty can be deducted from your tax refund.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

If the penalty were \$5...

Option 1: disclose your information

Option 2: do not disclose, pay \$5



If the penalty were \$25...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$25

☐

If the penalty were \$50...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$50

☐

If the penalty were \$100...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$100

☐

If the penalty were \$200...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$200

☐

If the penalty were \$500...

Option 1: disclose your information

☐

Option 2: do not disclose, pay \$500

☐

If the penalty were \$1,000...

Option 1: disclose your information

☐

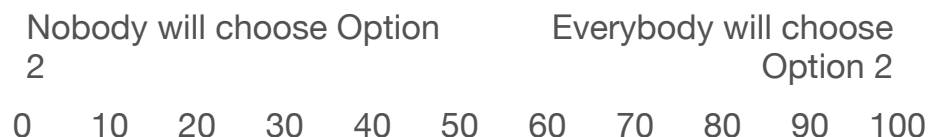
Option 2: do not disclose, pay \$1,000

☐

What is the highest penalty you would pay to avoid disclosing your information under this hypothetical program?

What percent of the population do you think would choose **Option 2, so that they will pay a penalty and their personal information will not be disclosed**, at the maximum penalty you indicated in the previous question?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.



What percent of the population do you think would choose **Option 2**, so that **their personal information will not be disclosed at a penalty of \$200?**

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option
2

0 10 20 30 40 50 60 70 80 90 100

Everybody will choose
Option 2

WTA

We would now like you to think about a hypothetical world where the Internal Revenue Service (IRS) allows you to pick between:

- Option 1: **Disclosing your total taxable income and taxes paid last year (this year's tax return) in exchange for a refundable tax credit.** You will be given the identity of individuals who look up your information.
- Option 2: **Opting out of the program.** Your taxable income and taxes paid last year will not be disclosed.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

Will you be given the identity of individuals who look up your information?

- ☐ Yes
- ☐ No

Which of the two options will result in a refundable credit?

- ☐ Option 1: your information will be disclosed
- ☐ Option 2: your information will not be disclosed

If the credit were \$0, so that choosing Option 1 was not compensated, which of the following two options are you most likely to choose?

- ☐ Option 1: your information **will** be disclosed
- ☐ Option 2: your information **will not** be disclosed

What share of the population do you think would choose **Option 2, so that their personal information will not be disclosed?**

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option 2
0 10 20 30 40 50 60 70 80 90 100

Everybody will choose Option 2

We will now present you with different credit levels. For each one, select the option you are more likely to choose:

- Option 1: **disclose your total taxable income and taxes paid last year (this year's tax return) in exchange for a refundable tax credit.** You will be given the identity of individuals who look up your information.
- Option 2: **opt out of the program.** Your taxable income and taxes paid will not be disclosed.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

If the credit was \$5...	Option 1: disclose your information, receive \$5 ☐	Option 2: do not disclose ☐
If the credit was \$25...	Option 1: disclose your information, receive \$25 ☐	Option 2: do not disclose ☐
If the credit was \$50...	Option 1: disclose your information, receive \$50 ☐	Option 2: do not disclose ☐
If the credit was \$100...	Option 1: disclose your information, receive \$100 ☐	Option 2: do not disclose ☐
If the credit was \$200...	Option 1: disclose your information, receive \$200 ☐	Option 2: do not disclose ☐
If the credit was \$500...	Option 1: disclose your information, receive \$500 ☐	Option 2: do not disclose ☐
If the credit was \$1,000...	Option 1: disclose your information, receive \$1,000 ☐	Option 2: do not disclose ☐

What is the lowest credit you would accept to disclose your information under this hypothetical program?

What percent of the population do you think would choose **Option 2, so that their personal information will not be disclosed**, at the minimum credit level you indicated in the previous question?

An answer of 0 means you think nobody (0%) will choose Option 2, an answer of 100 means you think everybody (100%) will choose Option 2.



What percent of the population do you think would choose **Option 2**, so that **their personal information will not be disclosed, if the credit for choosing Option 1 were \$200?**

An answer of 0 means you think nobody (0%) will choose Option 2, an answer of 100 means you think everybody (100%) will choose Option 2.



WTA_anonymous_prob

We would now like you to think about a hypothetical world where the Internal Revenue Service (IRS) allows you to pick between:

- Option 1: **Disclosing your total taxable income and taxes paid last year (this year's tax return) in exchange for a refundable tax credit. You will not be given the identity of individuals who look up your information.**
- Option 2: **Opting out of the program.** Your taxable income and taxes paid last year will not be disclosed.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

Will you be given the identity of individuals who look up your information?

- ☐ Yes
- ☐ No

Which of the two options will result in a refundable credit?

- ☐ Option 1: your information will be disclosed
- ☐ Option 2: your information will not be disclosed

If the credit were \$0, so that choosing Option 1 was not compensated, which of the following two options are you most likely to choose?

- ☐ Option 1: your information **will** be disclosed
- ☐ Option 2: your information **will not** be disclosed

What share of the population do you think would choose **Option 2**, so that **their personal information will not be disclosed, if the credit for choosing Option 1 is \$0?**

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option 2
0 10 20 30 40 50 60 70 80 90 100

Everybody will choose Option 2

We will now present you with different credit levels. For each one, select

the option you are more likely to choose:

- Option 1: **disclose your total taxable income and taxes paid last year (this year's tax return) in exchange for a refundable tax credit. You will not be given the identity of individuals who look up your information.**
- Option 2: **opt out of the program.** Your taxable income and taxes paid from last year will not be disclosed.

If you do not intend to file taxes on income earned in 2022, and you choose Option 1, your information report will say "Did not file in tax year 2022".

If the credit were \$5...	Option 1: disclose your information, receive \$5 ☐	Option 2: do not disclose ☐
If the credit were \$25...	Option 1: disclose your information, receive \$25 ☐	Option 2: do not disclose ☐
If the credit were \$50...	Option 1: disclose your information, receive \$50 ☐	Option 2: do not disclose ☐
If the credit were \$100...	Option 1: disclose your information, receive \$100 ☐	Option 2: do not disclose ☐
If the credit were \$200...	Option 1: disclose your information, receive \$200 ☐	Option 2: do not disclose ☐
If the credit were \$500...	Option 1: disclose your information, receive \$500 ☐	Option 2: do not disclose ☐
If the credit were \$1,000...	Option 1: disclose your information, receive \$1,000 ☐	Option 2: do not disclose ☐

What is the lowest credit you would accept to choose Option 1, disclose your

information, under this hypothetical program?

What percent of the population do you think would choose **Option 2, so that their personal information will not be disclosed**, at the minimum credit level you indicated in the previous question?

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option 2
2
0 10 20 30 40 50 60 70 80 90 100

Everybody will choose
Option 2

What percent of the population do you think would choose **Option 2, so that their personal information will not be disclosed, if the credit for choosing Option 1 were \$200?**

An answer of 0 means you think nobody (0%) will choose Option 2. An answer of 100 means you think everybody (100%) will choose Option 2.

Nobody will choose Option 2
2
0 10 20 30 40 50 60 70 80 90 100

Everybody will choose
Option 2

Tax Questions

We would like you to think about the **federal tax return you filed or will file for income earned in 2022**. This is the tax return associated with the current filing season, due on April 18th.

Do you expect to file or have already filed federal income taxes for income earned in 2022?

- ☐ No
- ☐ Yes
- ☐ Don't know / Refuse

How do you intend to file your federal taxes this year? *If you have already filed, how did you file?*

- ☐ Hire a tax preparer or accountant
- ☐ Use online tax preparation software (some examples include H&R Block and TurboTax)
- ☐ File yourself
- ☐ Spouse or parents take care of your taxes
- ☐ Don't know/Unsure
- ☐ Prefer not to say

Which filing status do you intend to use? *If you have already filed, which status did you use?*

- ☐ Single
- ☐ Married - Filing Jointly
- ☐ Married - Filing Separately
- ☐ Qualified widow or widower
- ☐ Head of household
- ☐ Don't know/Unsure
- ☐ Prefer not to say

Did you earn self employment income in 2022?

- ☐ Yes
- ☐ No
- ☐ Don't know/Unsure
- ☐ Prefer not to say

Do you plan to claim the standard deduction or itemize your deductions? *If you have already filed, which option did you choose?*

- ☐ Itemize
- ☐ Standard deduction
- ☐ Don't know/Unsure
- ☐ Prefer not to say

Do you expect to receive a refund from the Federal Government?

- ☐ Yes
- ☐ No
- ☐ Don't know/Unsure
- ☐ Prefer not to say

Post-Experiment Demographic Questions

Finally, we would like you to tell us a little bit about yourself. These questions help us ensure that our analysis sample is representative of the population at large.

Choose one or more races that you consider yourself to be

- ☐ White or Caucasian
- ☐ Black or African American
- ☐ American Indian/Native American or Alaska Native
- ☐ Asian
- ☐ Native Hawaiian or Other Pacific Islander
- ☐ Other
- ☐ Prefer not to say

Are you of Spanish, Hispanic, or Latino origin?

- ☐ Yes
- ☐ No
- ☐ Prefer not to say

How do you describe yourself?

- ☐ Male
- ☐ Female
- ☐ Non-binary / third gender
- ☐ Prefer to self-describe
- ☐ Prefer not to say

What best describes your employment status last year? Check all that apply.

- ☐ Working full-time

- ☐ Working part-time
- ☐ Unemployed and looking for work
- ☐ A homemaker or stay-at-home parent
- ☐ Student
- ☐ Retired
- ☐ Other
- ☐ Prefer not to say

What was your total household income before taxes last year?

- ☐ Less than \$25,000
- ☐ \$25,000-\$49,999
- ☐ \$50,000-\$74,999
- ☐ \$75,000-\$99,999
- ☐ \$100,000-\$149,999
- ☐ \$150,000 or more
- ☐ Prefer not to say

What is the highest level of education you have completed?

- ☐ Some high school or less
- ☐ High school diploma or GED
- ☐ Some college, but no degree
- ☐ Associates or technical degree
- ☐ Bachelor's degree
- ☐ Graduate or professional degree (MA, MS, MBA, PhD, JD, MD, DDS etc.)
- ☐ Prefer not to say

Do you have any children currently living with you at home?

- ☐ Yes
- ☐ No
- ☐ Prefer not to say

Generally speaking, do you think of yourself as a Republican, a Democrat, an Independent, or what?

- ☐ Republican
- ☐ Democrat
- ☐ Independent
- ☐ Other:
- ☐ Prefer not to say

Would you call yourself a strong Republican or a not very strong Republican?

- ☐ Strong Republican
- ☐ Not very strong Republican

Would you call yourself a strong Democrat or a not very strong Democrat?

- ☐ Strong Democrat
- ☐ Not very strong Democrat

Do you think of yourself as closer to the Republican Party or the Democratic Party?

- ☐ Closer to the Republican Party
- ☐ Closer to the Democratic Party
- ☐ Neither
- ☐ Prefer not to say

Feedback

Thank you for taking the time to complete our survey. In the coming days, we will review all entries for completeness so that you can receive compensation.

In this section, we would like to give you the opportunity to provide feedback on our survey and the subject of tax privacy. **You are not required to answer any questions in this section to receive full compensation.** After you click the next button, you will be redirected back to Prolific.

How easy or difficult would you say it was to complete this survey?

- ☐ Very difficult
- ☐ Somewhat difficult
- ☐ Neither difficult nor easy
- ☐ Somewhat easy
- ☐ Very easy

Do you have any other thoughts or concerns about privacy, and in particular tax privacy, that you would like to share with us?

Do you have any other feedback about this survey for the survey team?

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